

US Economic Perspectives

Warsh at Sintra: 3 takeaways

Economics

Americas

We see three takeaways from Chair Warsh's comments at Sintra

One, Chair Warsh said that inflation risks have receded since the June FOMC meeting. Two, he reiterated his belief in the potentially profound effects of Artificial Intelligence and that the related expanding supply side has "huge implications" for monetary policy. In other words, like in his June post-FOMC meeting press conference, he has not distanced himself from his writing and comments last year about the topics. Third, he said names of people on the task forces could be released as early as next week (or this week it turns out).

Chair Warsh was joined on the panel by Andrew Bailey, Governor, Bank of England, Christine Lagarde, President, European Central Bank, and Tiff Macklem, Governor, Bank of Canada. The panel was moderated by CNBC Anchor, Sara Eisen. The wide ranging discussion covered central banking, inflation, and central bank balance sheets. They also noted different starting points for their economies and some different considerations for the policy outlook.

The central bankers seemed to find common cause on avoiding forward guidance, something Chair Warsh emphasized. Though Lagarde suggested what they wanted to provide was "framework" guidance. Bailey noted the problem of getting locked into prior statements. Lagarde said the hope is markets can understand how the central bank would react to new information, understand the decision-making framework, without having to be guided into each policy meeting.

Chair Warsh retained many of his recent themes. He continued to use his "family fight" metaphor. With a reference to Alexis de Tocqueville, the references to pre-1900 thinkers continued too. *"We have a task force for that,"* he said, more than once. He also reiterated the FOMC commitment to price stability, more than once too.

Warsh: inflation risks have "come down"

His comments started off trying to avoid forward guidance. Asked about whether a rate hike would be considered at the July meeting, Warsh demurred, leaving the sentiment that July is a live meeting, though without forward looking implications, he often sounds like every meeting is a live meeting for a policy decision. However, he pointed out that over the last four weeks, which is since the June FOMC meeting, he said inflation expectations have come down, and inflation risks have come down. *"Expectations of inflation over the first four weeks of this period, they've come down. Inflation risks have come down,"* he said. However bad the outlook looked at the June meeting, presumably the inflation outlook appears better now.

Expanding supply side could have "huge" implications for monetary policy

Chair Warsh again displayed his view that AI is transformative. He also reiterated bullish sentiment over structural productivity growth and potential GDP growth. He said the expansion of the supply side could have "huge" implications for monetary policy: *"...right now they're investing in the future because their expectation is the supply side of the economy will expand, and if it does, that has huge implications for monetary policy."* We argued even before Warsh became Chair that this would be a theme of his leadership.

As we noted following the post-FOMC press conference, Warsh has not walked back or pushed back against his views on AI articulated in the year prior to being nominated to be Chair. For example, he wrote this last November:

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"The Fed should discard its forecast of stagflation in the next couple of years, as if subpar growth and inflation 40% above target is the best that can be done. AI will be a significant disinflationary force, increasing productivity and bolstering American competitiveness." — Kevin Warsh, November 16, 2025⁽¹⁾

Here was one exchange on the topic today:

Warsh: *"...In the US, the AI shock is leading to a boom in capital expenditures. We see that first and foremost in demand, but I'm confident we're going to see it in supply at some point..."*

Eisen: *"Is it inflationary?"*

Warsh: *"Well, in the near term, we can observe it on the demand side, but it's up to the central bank to decide whether it's inflationary."*

Eisen: *"That's why I'm asking."*

Warsh: *"Whether in fact it finds its way into a broader set of goods, I don't have any news for you on that, but I would certainly rather be in a position where we have two things. Where we recommit the way I know my colleagues have to deliver price stability. And the other piece that I'll take note of, which shows some difference, I think, among our nations, is the AI boom is showing itself first and very prominently in the United States. I'd certainly rather have this problem, where we have massive capital expenditures, instead of thinking years back where we had financial engineering, where we had companies that weren't able to deliver profits, so they would do shareholder buybacks. Well, right now they're investing in the future because their expectation is the supply side of the economy will expand, and if it does, that has huge implications for monetary policy. But again, I'm not going to make a judgment now, we'll meet again in four weeks. But this is as exciting a time and also as consequential a time to be a central banker that I can think of at any point, maybe outside of a crisis, in my adult lifetime."*

He said in the post-FOMC press conference that productivity led growth should be "embraced", which would typically imply that growth that should not be pushed back against by tighter monetary policy. He said today that we welcome productivity led growth again. Later in the panel Warsh said that, to him, it looks like structural growth is accelerating--which would imply more room for the economy to run, and more slack for any given level of growth:

"I would just say this. Over the last four quarters in the US, structural productivity is in the high 2% range. So potential growth looks like it's trended up. This is at a time that the labor market's hours worked are relatively flat. History says that we go from periods of low productivity to periods of high productivity. Nothing is in the bank at this time of consequence. But if the last four quarters are an indication, which is really largely before the advent of the new surge in what artificial intelligence can do, I think there's reason to be optimistic. Now, does that optimism convey into policy in the next six or nine months, too soon to say."

Task force names could begin to be released next week

In one glimpse of forward guidance Chair Warsh said names could be released next week on the task forces. He indicated experts, former central bankers (domestic and elsewhere), and others could be named. One announcement came following his remarks this morning, with former Bank of England Governor Mervyn King named to co-chair the communications task force, see [here](#).

One person we would expect on the balance sheet panel, or perhaps even lead that panel, would be Stanford Business School Professor Darrell Duffie. Duffie has been on a number of public sector panels on banking and funding markets. Duffie was also a scholar at the Hoover Institute, where Warsh was also a scholar. Duffie just published a paper on the balance sheet, how it might shrink and other policy considerations: *"The*

¹. WSJ op-ed below. Link: <https://www.wsj.com/opinion/the-federal-reserves-broken-leadership-43629c87>

Payment System Puts a Floor on the Fed's Balance Sheet.⁽²⁾ Most of the proposals would take some time, though in Warsh's comments today he seemed to take a longer view than some of his previous comments on potential balance sheet reform.

"The only thing that I'll repeat here, which I've said repeatedly, is if there's a change in balance sheet policy, it'll be a change of my colleagues in the FOMC and the Board. Those decisions will be well-deliberated publicly, well understood, and will not be implemented until financial markets have come to understand what those are. It took us about 18 years to find our way into this big balance sheet, which again, in my biased view, borders on fiscal policy. It took us 18 years to get out of it. It won't, it'll take us more than 18 weeks to bring it down to size. I'm open-minded on the question. We're not going to prejudge it, but I want interest rate policy to be the working oar for monetary policy," he said today.

Data dependence? But what data?

With the apparent lack of forward guidance many have been noting that this potentially raises the importance of the data in the Fed's reaction function. However, in comments relating to the data today Chair Warsh did not seem very data dependent and seemed to downplay the data that the Fed currently have at hand. In the post-FOMC press conference he also downplayed the incoming data, and abstracted to note "trends." He had previously been critical of data dependence, arguing that backward looking data can lead to policy being too backward looking too.

Also, in reiterating the importance of price stability Warsh stated that *"We're going to deliver price stability in the US. That's what this committee has signed up to do. And our objective is to do that. The tactics, the strategy and the rest that's still to come."* implying that the plan to deliver price stability is dependent not on today's data but potentially on the outcome of the task force findings.

Asked about his favorite economic indicator he stated that he hopes his data task force will provide new data, we just need to wait 9-12 months: *"with the data project, the Data task force, my hope, my aspiration is that 9 to 12 months from now, we're going to be using new technologies to understand what's happening in the real economy. In a contemporaneous, real time way that positions us as central makers to make better decisions that we're no longer going to have to rely solely on data that we get from government agencies with mismeasurement problems, that have surveys that are no longer relevant, that every business we know that are leading in our country are using new data sources to make better decisions. My favorite data is upon us, and if we do our jobs, we'll be here a year from now and we'll say we've discovered data that helps us make better decisions, and we live up to our promises. We strengthen our credibility, and politics stays at bay."*

On his least favorite economic indicator he stated: *"Monetary policy works with long and variable lags, as we know. And many of these indicators are echoes of history. We need indicators that tell us what things are when we look out our window today. So when we make judgments, when we next convene, they're as close to real time as possible."* "Echoes of history" implies a downplaying of the data flow, to the extent any data point measures the prior months' activity.

². Darrell Duffie, "The Payment System Puts a Floor on the Fed's Balance Sheet", BPEA Conference Draft, 2026. See: https://www.brookings.edu/wp-content/uploads/2026/03/3_Duffie_unembargoed.pdf. Also the discussant on the paper was Harvard's Wenxin Du, and her slides are here: https://www.brookings.edu/wp-content/uploads/2025/12/3b_BPEA_Du.pdf. To view the video of the full discussion of the paper and options, see: https://youtube_BPEA_Spring_2026.

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